Procircular

Terms and Conditions for PROCIRCULAR PRO membership

PROCIRCULAR ENVASES, S.L. (hereinafter, "PROCIRCULAR"), with Tax ID B-72918006 and registered office at Calle Sevilla, 9, local 5, in Pozuelo de Alarcón (Madrid - ZIP 28223) is a non-profit limited company authorised by the Directorate General for Energy Transition and Circular Economy of the Autonomous Community of Madrid as a Collective System of Extended Producer Responsibility (hereinafter, indistinctly, "PRO" or "Collective System") of packaging waste and used packaging of all materials and all categories, throughout the territory of the Kingdom of Spain, with authorisation number 13SCRA5000042205P being RECLAY IBERIA, S.L. its Administrative Entity.

1. Purpose and general considerations

1.1. These terms and conditions regulate the adhesion of producers of packaging products (hereinafter, "**Producer of the product**") to the PROCIRCULAR PRO and their conditions of participation, as well as their financial contribution to it (hereinafter, "**Terms and Conditions**").

1.2. By accepting these Terms and Conditions, the Producer of the product joins the PROCIRCULAR PRO and transfers to the Collective System the fulfilment of its obligations arising from the Extended Producer Responsibility that can be fulfilled collectively, in accordance with Law 7/2022, of 8 April, on Waste and Contaminated Land for a Circular Economy (hereinafter, "**LRSCEC**") and Royal Decree 1055/2022, of 27 December, on Packaging and Packaging Waste (hereinafter, "**RDERE**"), as well as the regulations that, where applicable, develop or replace them.

1.3. Producers of the product who are established in another Member State or in third countries and who market products in Spain must appoint a natural or legal person in Spanish territory as an authorised representative for the purposes of compliance with the obligations of the Producer of the product, have the documentation accrediting the representation under the terms of article 17.2 of the RDERE, and identify him/her correctly and completely in accordance with the information required during the contracting process on this online platform.

2. Scope of membership

2.1. The Producer of the product joins the PROCIRCULAR Collective System for all packaging in the categories indicated during the membership application process and identified in the header of this contract. Likewise, all of these categories are included in the scope of the PRO.

2.2. The Producer of the product may expressly state in writing its wish to include only a part of such packaging in PROCIRCULAR's PRO, with the limitations set out in article 17.3 of the RDERE. The Producer of the product may express its decision: (i) within the online procedure for joining PROCIRCULAR, on this online platform; or (ii) subsequently, by means of a reliable communication to PROCIRCULAR before the last quarter of each calendar year.

2.3. The territorial scope of the contractual relationship extends to the whole of Spain.

3. Use of the System's identification symbol.

Participation in the Collective System does not imply any obligation to use any distinctive sign, in order to guarantee maximum respect for the producer's freedom of decision, to promote competition and to facilitate the circulation of packaged products throughout the European Union.

4. Financial contribution.

4.1. The Producer of the product shall pay PROCIRCULAR a financial contribution calculated to cover the total cost of packaging waste management, in accordance with article 23.2 of the RDERE, its financial guarantee and the other costs of the Collective System.

4.2. The amount to be paid by the Producer of the product shall be determined on the basis of the actual quantity, by weight, of packaging placed on the market on the basis of data from the previous year, in accordance with articles 16.1, 17.1.j) and Annex VII of the RDERE. This data shall be communicated to PROCIRCULAR by the Producer of the product in accordance with the provisions of clause 9 and, where applicable, shall be regularised in the first quarter of the following year, based on the packaging that has actually been placed on the Spanish market.

4.3. The amount of this financial contribution shall be determined annually in accordance with the quantification criteria which, with the participation of the producers who are members of PRO, are approved by the competent bodies of PROCIRCULAR in accordance with its Articles of Association and the rest of the rules governing the participation of producers in the internal functioning and decision-making of PRO.

4.4. The amount of the financial contribution to be paid by the Producer of the product shall be reviewed before the last quarter of the year and may be modified by the competent members of PROCIRCULAR. Such modification shall be communicated to the Producer of the product at least three (3) months prior to its effective application and, in any case, no later than September 15 of the current year when such effective application is to take place on January 1 of the following year.

4.5. The quantification criteria in force are detailed in Annex I of these Terms and Conditions and may be revised annually, as provided for in the previous section.

4.6. The financial contribution shall be invoiced and paid in the manner and within the time limits set out in Annex I of these Terms and Conditions.

4.7. At the end of the calendar year, when the income received from the financial contributions paid by the producers participating in the Collective System has exceeded 10% of the amounts actually paid to meet the obligations of PRO, the Collective System shall set up mechanisms to return the excess income received or shall justify to the producers belonging to PRO the need to use these resources in the following year, based on the income and expenditure forecasts for the next financial year.

5. Complementary activities.

5.1. PROCIRCULAR shall only allocate financial resources to the performance of voluntary activities that complement the purpose of the PRO with the express and voluntary consent of the Producer of the products that pay for them.

5.2. Acceptance of these Terms and Conditions shall never imply an obligation to contribute to the aforementioned complementary activities. Nor shall participation in them be required in order to remain in the Collective System.

5.3. Under no circumstances may the financing of these voluntary activities be in conflict with the activities of waste managers, and the regulations on competition shall apply to them.

6. Business plans for prevention and eco-design.

The Producer of the product may choose to comply with its obligation to draw up prevention and eco-design business plans through the Collective System, subject to prior agreement with PROCIRCULAR in this regard. In accordance with article 23.6 of the RDERE, this service is not included in the amount of the financial contribution provided for in clause 4 above and its provision shall be subject to a specific supplementary fee agreed with the PRO.

7. Obligations of PROCIRCULAR.

7.1. Under the terms set out in its administrative authorisation as a Collective System, PROCIRCULAR undertakes to carry out the actions and adopt the means necessary to comply with the obligations that the Producer of the product transfers to it in relation to the organization and/or financing of the collection and management of packaging waste, compliance with objectives and information obligations, always observing the provisions of the LRSCEC and the RDERE.

7.2. By virtue of these Terms and Conditions, PROCIRCULAR assumes the following specific obligations:

a) Provide the Producer of the product with the certificate of membership of the Collective System, in order to enable it to be entered in the Register of Producer of the products, Packaging Section, as well as other additional documents that the Producer of the product may require to accredit its membership of PRO.

b) Communicate planned modifications of the financial contribution of the Collective System as far in advance as, with the participation of the producers affiliated to the PRO, approved by the competent bodies of PROCIRCULAR and at least three (3) months prior to its entry into force and, in any case, no later than September 15 of the current year when such effective application is to take place on January 1 of the following year.

c) Undergo an annual accounts audit, carried out by an independent auditing company, under the terms set out in article 22.1.g) of the RDERE.

7.3. PROCIRCULAR may fulfill its obligations on its own or through an Administrative Entity and may contract with third parties for the services necessary for the execution of this contractual

relationship. In this regard, PROCIRCULAR has appointed RECLAY IBERIA, S.L., as its Administrative Entity.

8. Obligations of the Producer of the product

By accepting these Terms and Conditions, the Producer of the product assumes the following obligations:

a) To observe the obligations that the LRSCEC and the RDERE or regulations that replace the aforementioned regulations impose on the Producer of the products.

b) To accept the conditions established in PROCIRCULAR's PRO authorisation resolution, which it declares to have been informed.

c) Pay the financial contribution for its participation in the Collective System, depending on the quantity of containers it places on the market and their domestic, commercial or industrial nature, in accordance with clause 4 of these Terms and Conditions.

d) Provide the Collective System with information on the composition of the packaging and the presence of hazardous substances or substances that may affect its correct management, so that PROCIRCULAR can make it available to the packaging waste managers, in accordance with article 13.9 of the RDERE.

e) In accordance with article 23.5 of the RDERE, to submit to the actions and verifications that PRO carries out, by itself or through an independent third party, to verify the veracity of the data on packaging placed on the market through the Collective System, providing the corresponding documentation to the person carrying out the verification. If, as a result of the verification or control, it is found that there are discrepancies between the quantity of containers placed on the market and the quantity of containers declared by the Producer of the product, the Producer of the product shall draw up and send to PROCIRCULAR a new declaration of containers for the year(s) in respect of which the irregularities were detected, and shall pay the corresponding amounts.

f) If the Producer of the product is obliged to appoint an authorized representative in accordance with article 17.2 of the RDERE, communicate any change in relation to such authorised representative, including its replacement, within five (5) working days after the change occurs.

9. Information obligation for packaging placed on the market.

9.1. For the purpose of calculating the amount of the Producer of the product's financial contribution, the latter must provide PROCIRCULAR with the following information:

a) On an annual basis and before February 28 of each year, companies must submit information on the packaging they have placed on the Spanish market in the previous calendar year, as a final packaging declaration, which will also serve as a provisional or forecast declaration for the current year, and they must regularize this in February of the following year.

b) For members joining after this date, the deadline for submitting packaging declarations is 30 days from the date of joining the PRO, submitting a provisional declaration for the packaging placed on the Spanish market in the year immediately prior to joining the PRO. In the case of a new Producer of the product or a new product with no previous packaging declaration, the provisional declaration shall be based on their best estimate of the packaging placed on the Spanish market in the current year.

9.2. The above information shall be provided following the "Packaging Declarations" models approved at any given time by PROCIRCULAR and communicated to the Producer of the product, in accordance with the terms set out in Annex I.

9.3. The data contained in the above declarations shall constitute the basis for calculating the financial contribution to be paid by the Producer of the product during the current calendar year. The Producer of the product shall be responsible for the accuracy and veracity of the data submitted to PROCIRCULAR, and shall be liable to the Collective System for any damages that may otherwise arise.

10. Participation in PROCIRCULAR.

10.1. The Producer of the product may request to participate in the Producer Committee(s) and Commission(s) set up by PROCIRCULAR under article 35 of its Statutes, according to the types of packaging placed on the market and their materials.

10.2. This participation shall take place in accordance with the internal operating regulations that PROCIRCULAR approves with the consensus of the producers, allowing the Producer of the product to be informed of the progress of the Collective System, make comments and allegations, present proposals on the operation of the PRO and participate in decision-making on the system for calculating and updating the financial contributions to the Collective System and on the application of its financial resources.

10.3. The operation of the Producer Committee(s) and the Commissions shall at all times comply with the rules on the Defence of Competition, and PROCIRCULAR undertakes to maintain a zero tolerance level for conduct that may restrict competition.

11. Financial guarantee.

In compliance with current legislation, PROCIRCULAR undertakes to update the financial guarantee of its operations annually, in the event that new Producer of the products join or leave the market, in order to adapt it to the variation in the quantities and materials of packaging placed on the market by the Producer of the products who are members of PROCIRCULAR's PRO.

12. Duration

The contractual relationship resulting from acceptance of these Terms and Conditions shall enter into force on the day of acceptance and shall be of indefinite duration unless, during the current

year, either Party gives written notice to the other Party of its decision to withdraw from the same before the last quarter of the year, in accordance with Article 17.4 of the RDERE.

13. Modifications

These Terms and Conditions and any of the conditions deriving from them may be modified by PROCIRCULAR whenever necessary in order to comply with the applicable regulations, administrative decisions - including PROCIRCULAR's authorisation as a PRO or other authorisations necessary for its correct operation in accordance with the applicable regulations - or the Agreements signed by the PROs with the Public Administrations. All of the above, subject to duly justified notification to the Producer of the product.

14. Extinction

The following are causes for termination of the contractual relationship: a) the mutual consent of the Parties; b) the unilateral withdrawal of either of the Parties, carried out in accordance with the provisions of clause 12 above; c) the termination of the contract due to breach of its obligations by one of the Parties; d) the cessation of PROCIRCULAR's activity as PRO; e) the cessation of its activity of placing packaging on the market by the Producer of the product.

15. Confidentiality of information.

15.1. The Parties shall keep confidential any type of information in their possession by virtue of this contractual relationship, unless required to do so by judicial or administrative order.

15.2. PROCIRCULAR guarantees the Producer of the product the confidentiality of its individual data and that other producers or economic agents will not be able to access the same. PROCIRCULAR shall only use aggregate information in the performance of its information and advertising functions.

16. Data protection.

16.1. In accordance with Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) and Organic Law 3/2018 of 5 December on the Protection of Personal Data and the Guarantee of Digital Rights - or regulations replacing them - the parties hereby inform each other that the identification data, personal identification numbers, position and signature of the signatories will be processed by PROCIRCULAR and the Producer of the product in accordance with the regulations in force, the parties hereby inform each other that the identification data, personal identification numbers, position and signature of the signatories will be processed by PROCIRCULAR and the Producer of the product in accordance with the regulations in force, for the purpose of managing the rights and obligations arising from this contractual relationship and, where appropriate, to send commercial communications on services related or complementary to

those contracted and not mandatory for the Producer of the product based on the legitimate interest of PROCIRCULAR.

16.2. By accepting these Terms and Conditions, both parties authorise each other to process the personal data indicated for the purposes foreseen, for which purpose the Producer of the product also accepts Annex II on the Processing of Personal Data.

17. Notifications

Notifications to the Producer of the product and, where appropriate, to its authorised representative, shall be made through the contact details designated in this online platform, preferably by electronic means. Both Parties shall notify changes of address, contact person or e-mail address to which communications between them must be made.

18. Jurisdiction and Applicable Law

Any dispute arising from the interpretation, application or execution of this contractual relationship shall be resolved before the Courts and Tribunals of Madrid. Spanish law shall apply.

19. Of this online platform

Additionally, you can consult the Terms and Conditions of Use of this online platform, as well as its Privacy and Cookies Policy and Data Protection Policy.

Annex I: Rules for determining the financial contribution and packaging declarations.

A. Methodology for the overall calculation of the financial contribution.

Procircular has used this methodology to calculate the financial contribution

Operating expenses + administrative expenses + deposit expenses – income from the sale of materials

The total fee to be paid by producers each year is calculated by applying the rates for type, material, and categories of packaging approved by the competent bodies of PROCIRCULAR and published on the PROCIRCULAR online platform to the kilograms of packaging sold annually on the Spanish market.

However, if the quota declared for packaging is lower than the minimum amount defined by PROCIRCULAR for each category, the minimum annual amount will apply. The minimum annual amount will be published by PROCIRCULAR on the same terms as the rates.

Any changes to the amounts of the fees, including the minimum amount, agreed by the competent bodies of PROCIRCULAR shall be published on the PROCIRCULAR online platform and communicated individually to producers at least three (3) months before the date of their effective application and, in any case, no later than September 15 of the current year when such effective application is to take place on January 1 of the following year, as provided in clause 4.4 of these Terms and Conditions.

B. Eco modulation criteria.

The corresponding bonuses or penalties shall be applied to the participation fees in accordance with the eco modulation criteria which, after approval by PROCIRCULAR'S governing bodies, shall be published for each year on the Collective System's website.

The eco modulation criteria will be drawn up by PROCIRCULAR and the PRODUCERS through they/their Producer Committee(s) and Working Groups, after evaluation of the recyclability of the packaging and approval by their governing bodies. Consideration will be given to similar types of packaging, the nature and quantity of material used in their manufacture, their durability, their repairability, their reusability, their superfluity, the quantity of recycled materials they contain, the presence of hazardous substances or other factors that affect the ease of reuse, the recycling of packaging waste or the incorporation of recycled materials, among others.

In any case, the criteria for bonuses and penalties set out in Annex VIII of the RDERE or other similar criteria applicable to the packaging included in the scope of application of PROCIRCULAR will be taken into account.

C. Packaging declarations.

For the purposes of calculating the amount of the financial contribution of the Productor of Producer, the latter must provide the information related to the packaging it has placed on the Spanish market in the immediately preceding year, in accordance with the provisions of Clause 9 of this Terms and Conditions, for which purposes are two types of packaging declarations:

a) "Ordinary packaging declaration": for those producers that have placed on the market a quantity of packaging equal to or greater than 15 tonnes (15,000 kg) in the previous year.
b) "Simplified packaging declaration": for those producers that have placed less than 15 tonnes (15,000 kg) of packaging on the market in the previous year.

D. Billing and terms of payment.

Invoicing to the Producer of the product shall be in accordance with the following rules:

a) Productor producer which, according to the information on packaging which they have placed on the Spanish market in the immediately preceding year, are required to pay a financial contribution of more than FIVE HUNDRED EUROS (500 €) plus VAT, shall pay the amount corresponding to their financial contribution annually, quarterly or monthly Invoices shall be issued by PROCIRCULAR on the last day of the month ending each quarterly or monthly billing period. The annual invoice shall be issued on March 31 of the current year or at the time of approval of the declaration.
a) Productor producer which, according to the information on packaging which they have placed on the Spanish market in the immediately preceding year, are required to pay a financial contribution equal to or less than FIVE HUNDRED EUROS (500 €) plus VAT, shall pay the amount corresponding to their financial contribution in a single annual payment. The invoice will be issued by PROCIRCULAR on 31 March of each year, unless adherence to PRO occurs after that date, in which case it shall be issued no later than one month after that date.

All payments by the Producer of the product shall be made in Euros (€).

Producer of the products who have selected the bank transfer payment option shall make the payment within a maximum of thirty (30) days from the date of the invoice, to the account number appearing on the invoice.

In all other cases, all payments by the Producer of the product shall be made by direct debit within a maximum of fifteen (15) days from the date of the invoice, for which the Producer of the product shall sign the Single-Euro Payment Zone (SEPA) Direct Debit Direct Debit Mandate included in this online platform. Please ensure that your company works with this product before choosing this option.

Annex II: Processing of personal data

In accordance with Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) and Organic Law 3/2018 of 5 December, on the Protection of Personal Data and guarantee of digital rights -or regulations replacing them-, PROCIRCULAR informs the Producer of the product that the identification data, personal identification numbers, position and signature of the signatories will be processed by PROCIRCULAR or the entity to which it entrusts the processing in accordance with the regulations in force, PROCIRCULAR being responsible for the processing.

The purpose of the processing is to manage the rights and obligations arising from this Contract, any other necessary for the proper management of PRO and, where appropriate, to send commercial communications on services related or complementary to those Contracted and not mandatory for Producer of the product based on the legitimate interest of PROCIRCULAR.

Personal data will be included in a file owned by PROCIRCULAR and will be kept until the end of the Contractual relationship between the parties. Notwithstanding the above, data will be kept duly blocked for as long as liabilities may arise from the execution of the Contract, as well as for compliance with other legal obligations.

You are also informed that your data will not be transferred to a third country or international organisation and will not be communicated to third parties, unless required by a legal obligation.

At any time, the signatories may exercise the rights conferred on them by current personal data protection regulations (access, rectification, deletion, limitation, portability, opposition and the right not to be subject to automated individual decisions), identifying the right whose exercise is requested, by contacting the data controller at the following e-mail address: info@procircular.es, indicating in the subject line: "Exercise of personal data protection rights". Alternatively, they may contact the following postal address: C/Sevilla núm. 9, local 5, 28223, Pozuelo de Alarcón (Madrid).

If the person affected by the processing considers that any of the aforementioned rights have not been respected, he/she will have the right to file a complaint with the Spanish Data Protection Agency.